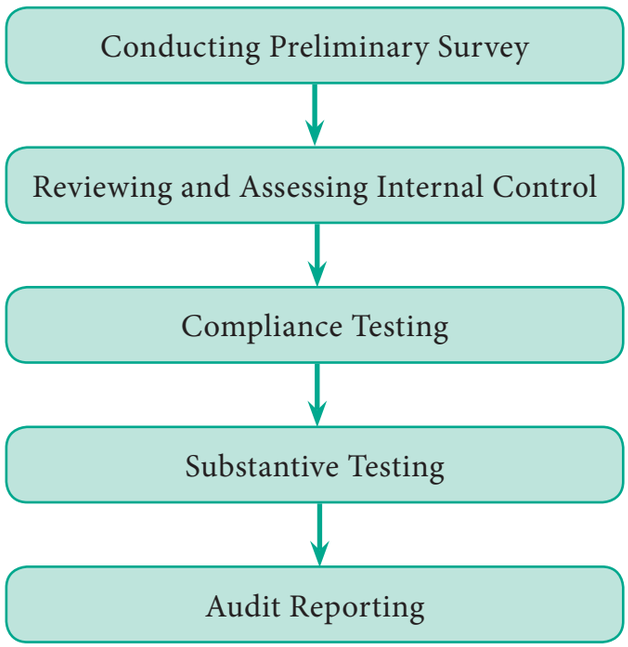
The computer is not used for all the audit work and it is done manually.

1.14.3 Audit Process for Computerized Accounting System

The audit process for a computerized accounting system involves the following five major steps:

1. **Conducting Preliminary Survey:** This is a preliminary work to plan how the audit should be conducted. The auditors gather information about the computerized accounting system that is relevant to the audit plan. This includes an understanding of how the computerized accounting functions are organized, identification of the computer software used, understanding accounting application processed by computer and identification applicable controls.
2. **Reviewing and Assessing Internal Controls:** There are two types of controls namely general controls and application controls.
   - **General Controls:** General controls are those that cover the organization, management and processing within the computer environment. They should be tested prior to application controls, because if they are found to be ineffective, the auditor will not be able to rely on application controls. General controls include proper segregation of duties, file backup, use of labels, access control, etc.
   - **Application Controls:** Application controls relate to specific tasks performed by the system. They include input controls, processing controls, and output controls. They should provide reasonable assurance that the initiating, recording, processing and reporting of data are properly performed.
3. **Compliance Testing:** Compliance testing is performed to determine whether the controls actually exist and function as intended. This can be performed by comparing the results to predetermined results or by processing dummy transactions.



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